Type MS · Health and safety at work

Answer 1 of 7 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid non-financial method of motivating staff in the context of the business. • Discount on flights (1). • Discounts on car hire (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid reason of having a loyalty programme in the context of the business. • Encourages customers to fly again with *Emirates* (1). • Loyalty to *Emirates* airline rather than competing airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Health and safety at work

Answer 1 of 7 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for the identification of a benefit of having full-time employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The workforce remains stable (1). Employees are well prepared for the job they are employed for (1). Opportunities may arise for employees to gain promotion when someone leaves (1). Answers that list three benefits of full-time employees with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for a reason for using seasonal staff, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Seasonal staff are employed when there is increased demand (1) this could be during holiday periods (1) when the full-time employees cannot meet the demand (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Health and safety at work

Answer 1 of 7 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for identification of a reason for undertaking health and safety training, plus 2 further marks for explaining why health and safety training is beneficial to a business, for a maximum of 3 marks. • Employees undertake this training, because it could be the law in that country (1). By undertaking the training, employees are aware of the hazards within their job (1) so they know how to protect themselves when using equipment (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Health and safety at work

Answer 1 of 7 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Questionnaires are easy for passengers to complete. • Option 2 – Focus groups allow passengers to give their opinions face-to-face. **AO3** • Option 1 – The questionnaire can be completed in as much detail as the passenger wants. • Option 2 –This means that passenger views on flights can be developed and investigated further if needed. **AO4** • Option 1 – However, often they are not filled in correctly and do not give the information about flights needed by *Emirates.* • Option 2 – However, a focus group can only be for a certain number of passengers and therefore might not give a true cross section of all classes of passengers.	**(9)**

Type MS · Health and safety at work

Answer 1 of 7 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Health and safety at work

Answer 1 of 7 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Health and safety at work

Answer 2 of 7 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for *NEXT* promoting its own employees in the context of the business. • If *NEXT* promotes its own employees, they are experts in the home interiors *NEXT* sell **(1)** • By promoting their own employees *NEXT* does not have to spend time and money interviewing and training new staff to sell its new dresses **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *NEXT* complies with health and safety laws. Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason for *NEXT* complying with health and safety laws in the context of the business. • *NEXT* will want to protect employees/customers whilst they are in its clothing stores **(1)** • By complying it is not breaking any laws and employees feel safe whilst working in its garment factories **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Health and safety at work

Answer 2 of 7 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** reason why businesses fail. Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why businesses fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses fail because of cash flow problems **(1)** this may be that the business has a greater outflow than inflow **(1)** leading to potential problems paying employees/suppliers **(1)** NB Answers that list three reasons why a business fails with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** reason why a business would use batch production. Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason for using batch production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • A business with a wide range of products may need to produce them in smaller numbers **(1).** They can change the product easily, for example colour/size **(1)** without incurring too much cost **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Health and safety at work

Answer 2 of 7 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** reason why employees keep their curriculum vitae (CV) up to date. Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of a reason why employees keep their curriculum vitae (CV) up to date, plus 2 further marks for explaining why having an up to date curriculum vitae is beneficial to an employee, for a maximum of 3 marks. • It means that an employee can apply for a job straight away **(1)** without having to spend time updating a CV **(1)** which avoids missing out on job opportunities **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Health and safety at work

Answer 2 of 7 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	**Option 1:** targeted advertising online **Option 2:** e-newsletters. **(f)** Justify which **one** of these two options *NEXT* should choose. Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using targeted online advertising *NEXT* are only sending information to those customers who have purchased furniture or have signed up to its website • **Option 2** – E-newsletters are a cost effective way of sending information to customers, if they are interested in the wedding list service, it could include text, illustration and special offers **AO3** • **Option 1** – *NEXT* could test whether the people it is targeting are buying the furniture being advertised • **Option 2** – The only expense *NEXT* has is the setting up of the newsletter, and then this can be distributed with no further expense to all its customers **AO4** • **Option 1** – However, targeted online advertising does not reach all the customers of *NEXT* who might wish to purchase furniture • **Option 2** – However, *NEXT* cannot be certain that all its customers who want to receive the wedding list service will read the newsletter as there is no guarantee or way of checking that they have seen it	**(9)**

Type MS · Health and safety at work

Answer 2 of 7 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7-9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Health and safety at work

Answer 2 of 7 · Question 2 part b · 1 mark

2021 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Define the term **economies of scale**. Answer	Mark

Type MS · Health and safety at work

Answer 3 of 7 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 7 · find part b in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a non-financial objective *Jimmy Choo* might have in the context of the business. • *Jimmy Choo* might want a social objective of being able to support a local charity near to its shops by giving unsold shoes to local charities **(1)** • *Jimmy Choo* wants to remain independent and in control of how its shoe shops are run **(1)** **NB** Do not accept a non-financial objective that is not in the context of *Jimmy Choo*. Accept any appropriate response	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* complies with health and safety laws. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy Choo* complies with health and safety laws in the context of the business. • *Jimmy Choo* complies with the laws so that all the employees feel safe whilst working in its shoe factories **(1)** • All employees in the maintenance of the shoe factory should be trained and wear protective clothing to reduce the risk of accidents when working on sewing machines **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* Accept any appropriate response	**(1)**

Type MS · Health and safety at work

Answer 3 of 7 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 7 · find part b in this mark scheme extract

Q. No.	Explain **one** advantage to a country of being a member of a trading bloc. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for an advantage to a country being a member of a trading bloc, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Being a member of a trading bloc gives access to other markets within the trading bloc. **(1)** This means that prices between the countries will be competitive **(1)** as there will be no additional costs involved **(1)** • It gives a wider choice of goods for consumers **(1)** as the goods move freely with limited trade restrictions **(1)** from one country to another country **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a country being a member of a trading bloc, with no explanation will get a maximum of 1 mark. Accept any appropriate response.	**(3)**

Type MS · Health and safety at work

Answer 3 of 7 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 7 · find part b in this mark scheme extract

Q. No.	Explain one way businesses support employees with disabilities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one way businesses support employees with disabilities, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • Businesses aim to ensure that they do not discriminate against disabled employees **(1)** employing a person who has limited mobility **(1)** means that the business may have to make reasonable adjustments to the premises **(1)** • If an employee has a disability, this should not affect their promotion prospects **(1)** if they apply for an internal promotion **(1)** so that they are treated the same as the other candidates **(1)** **NB** No marks are awarded for a definition. Answers that list three ways with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Health and safety at work

Answer 3 of 7 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** impact on a business of an increase in interest rates. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for one impact on a business of an increase in interest rates plus 2 further marks for explaining why, for a maximum of 3 marks. • An increase in interest rates could lead to an increase in financing costs for a business. **(1)** This could lead to a reduction in profits **(1)** and affect the growth/expansion of a business **(1)** • An increase in interest rates may mean customers have less money to spend **(1)** this may mean that they will only buy the essentials they need **(1)** and a business may see a reduction in its revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three impacts on a business of an increase in interest rates with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Health and safety at work

Answer 3 of 7 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 7 · find part b in this mark scheme extract

Q. No.	**Option 1:** casual employees **Option 2:** part-time employees. Justify which **one** of these two options *Jimmy Choo* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Some employees like the option of being 'on call' to work when there is an emergency or they are short of employees for the production of handbags • **Option 2** – College or University students wanting to work during the summer holidays, producing clothes they like to wear would be grateful for the opportunity to work **AO3** • **Option 1** – This means that they do not have a full-time job and can do other tasks like looking after their children or family members • **Option 2** – This means that *Jimmy Choo* can employ workers for a certain period of time without the commitment of full-time permanent contract **AO4** • **Option 1** – However, casual employees do not get any guarantee of work from *Jimmy Choo* and this may make them lack commitment to do their work when they are employed • **Option 2** – However, there is no guarantee that the part-time employees can work the hours or have the skills that *Jimmy Choo* needs	**(9)**

Type MS · Health and safety at work

Answer 3 of 7 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Health and safety at work

Answer 3 of 7 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 7 of 7 · find part b in this mark scheme extract

Q. No.	Define the term **person specification.** **Answer**	Mark

Type MS · Health and safety at work

Answer 4 of 7 · Question 2 part b · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Starbucks* should have good communication with its customers. • By communicating with customers, they are likely to return to buy more sandwiches from *Starbucks* **(1)** • Having good communication with customers encourages them to return to the shop so that a customer orders coffee and cake is understood and accurately delivered **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Q. No.	State **one** way *Starbucks* could follow health and safety legislation. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Starbucks* could follow health and safety legislation in the context of the business • Employees must ensure that when they are serving customers with biscuits they are handled with tongs or gloved hands **(1)** • Employees need to following the rules and regulations when using the coffee machines to avoid hot water and steam that could burn their hands **(1)** **NB** Do not accept a way that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Type MS · Health and safety at work

Answer 4 of 7 · Question 2 part b · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Q. No.	Explain **one** reason why many manufacturing businesses use just-in-time (JIT). **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why many manufacturing business use just-in-time (JIT), plus 2 further marks for explaining the reason, for a maximum of 3 marks. • JIT reduces the amount of inventory held by a business **(1)** reducing the costs associated with over ordering of inventory **(1)** meaning overall costs for a business may be reduced **(1)** • JIT reduces the amount of out-of-date or damaged stock **(1)** reducing the amount of storage space required for inventory **(1)** and this can then be used for other business activities **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why it is important that businesses pay their suppliers on time. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why it is important for a business of paying its suppliers on time, plus 2 further marks for explaining the reason for a maximum of 3 marks. • Paying suppliers on time establishes a good relationship with suppliers **(1)** and if a business needs goods urgently from them **(1)** they would be more likely to help them knowing they would be paid on time **(1)** • Paying on time, gives the business better negotiating powers with the supplier **(1)** so that if the supplier trusts them they may negotiate better prices **(1)** thus keeping its costs down **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Health and safety at work

Answer 4 of 7 · Question 2 part b · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Q. No.	Explain **one** effect on a business if interest rates are decreased. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of an effect on a business if the interest rates are decreased, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A decrease in interest rates reduces the cost of borrowing for a business **(1)** making it cheaper to finance new projects/expansion **(1)** improving the profitability of the business **(1)** • This could increase sales income for a business **(1)** because consumers may have more money to spend **(1)** on additional items they might want, which the business sells **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Health and safety at work

Answer 4 of 7 · Question 2 part b · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Q. No.	**Option 1:** financial methods **Option 2:** non-financial methods. Justify which **one** of these two methods *Starbucks* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees, such as bonus payments if the coffee shop increases its sales • **Option 2** – If *Starbucks* could offer its employee's non-financial benefits such as job enrichment within the coffee shop, so employees can gain more skills and knowledge of the business **AO3** • **Option 1** – Employees recognise that they are being financially rewarded for working hard and enjoy the extra income and this may encourage them to stay with the business • **Option 2** – Employees will gain new skills and knowledge and feel valued by *Starbucks,* which may help them gain promotion such as becoming an assistant manager and they will feel more loyal to Starbucks **AO4** • **Option 1** – However, not all employees are interested in bonus payments, as many employees are more interested in a good work-life balance and more concerned with non-financial incentives • **Option 2** – However, not all employees are motivated by non-financial methods of motivation, they may prefer having additional funds added to their pay slip so that they can pay their bills	**(9)**

Type MS · Health and safety at work

Answer 4 of 7 · Question 2 part b · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Health and safety at work

Answer 4 of 7 · Question 2 part b · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Q. No.	Define the term **crowdfunding**. **Answer**	Mark

Type MS · Health and safety at work

Answer 5 of 7 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 1 of 7 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *LEGO* wants to maintain its market share in the toy sector **(1)** • By achieving financial security, it allows *LEGO* to provide employment for its 18,000 employees **(1)** **NB** Do not accept if the objective is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *LEGO* does not recruit casual employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *LEGO* do not employ casual employees in the context of the business. • Casual employees may not have the commitment to ensuring that the art materials they produce are of the high standard set by *LEGO* **(1)** • Casual employees may take longer to understand how the Harry Potter games are labelled and packed ready for despatch **(1)** **NB** Do not accept a reason that is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Type MS · Health and safety at work

Answer 5 of 7 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why a business would pay its employees above the minimum wage. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark why a business would pay its employees above the minimum wage, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Paying above the minimum wage will encourage more employees to work at a business **(1)** as they could be paid more than at a competitor **(1)** and they are likely to stay with the business because of the payment they receive **(1)** • Employees will feel more rewarded because of the pay they receive **(1)** and this could increase their motivation at work **(1)** and also improve their productivity **(1)** NB No marks are awarded for a definition. Answers that list three reasons why a business would pay above minimum wage with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Health and safety at work

Answer 5 of 7 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why product trials are important to a business. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why product trials are important, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Gain customer feedback on a new product **(1)** identify strength/weaknesses/problems **(1)** which can then be addressed before the product enters the wider market **(1)** • By offering a customer a three month trial on electronic games **(1)** the customer can find out if they like the games **(1)** and if they do, they may a purchase the game console **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Health and safety at work

Answer 5 of 7 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why a business complies with health and safety legislation. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for identification why a business complies with health and safety legislation plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business does not comply with the laws given by the country **(1)** they could be fined/sued if there was an accident or someone was injured **(1)** and the business could be fined/closed down for not complying with the legislation **(1)** • It ensures all staff are protected against injuries **(1)** meaning less days are lots to illness **(1)** and reducing the need to get in temporary cover saving costs **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Health and safety at work

Answer 5 of 7 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	**Option 1:** cost plus **Option 2:** skimming. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1 –** This is easy to apply and *LEGO* will know that the cost of manufacturing the Princess Leia toy is covered when sold • **Option 2 -** This means that the new Princess Leia toy is sold at a high price when it is released **AO3** • **Option 1** – As each new toy is sold *LEGO* will know that it is making a profit on each sale • **Option 2** - As each toy is sold it will have a high profit margin, if only a few toys are sold the profits would still be high because they know that as Star Wars toys are popular and will sell **AO4** • **Option 1** - However, even though this pricing strategy guarantees a profit, there is no guarantee that the toys will be sold as customer may wait until the price falls • **Option 2** - However, this strategy might limit the number of potential customers wanting to buy the product as the price is too high.	**(9)**

Type MS · Health and safety at work

Answer 5 of 7 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Health and safety at work

Answer 5 of 7 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Define the term **delegation**. **Answer**	Mark

Type MS · Health and safety at work

Answer 6 of 7 · Question 1 part g · 6 marks

2024 JUN · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Health and safety at work

Answer 6 of 7 · Question 1 part g · 6 marks

2024 JUN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Health and safety at work

Answer 6 of 7 · Question 1 part g · 6 marks

2024 JUN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Health and safety at work

Answer 6 of 7 · Question 1 part g · 6 marks

2024 JUN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Health and safety at work

Answer 6 of 7 · Question 1 part g · 6 marks

2024 JUN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Health and safety at work

Answer 6 of 7 · Question 1 part g · 6 marks

2024 JUN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Health and safety at work

Answer 7 of 7 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

4 (a)	**AO2 - 2 marks** 67.48 **(2)** 113 362/168 000 x 100 **(1)**	Award full marks for correct numerical answer without working Award 1 mark for correctly substituting numbers into formula.	**(2)**

Question Number	Analyse why *Four Fitness* complies with health and safety laws. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • It can regularly inspect the gym equipment to make sure it is safe to use and the safety signs on the treadmills are clear to see • Gianni could train all of his gym instructors in relevant health and safety procedures **AO3** • This will prevent any customers getting injured and making complaints against *Four Fitness* risking a loss in customer numbers • This helps employees to be more confident in an emergency and understand how to give first aid properly if someone is injured without causing further damage	**(6)**

Type MS · Health and safety at work

Answer 7 of 7 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Health and safety at work

Answer 7 of 7 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate how *Four Fitness* may respond to the changes in the market. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Changes in customer needs • Changes in consumer spending patterns **AO2** • Gianni needs to make sure the gym equipment and the knowledge of the instructors are up to date so the new needs of customers are met • As more people use the internet to view fitness videos there is now more choice of paying to go to the gym or working out from home at a lower cost **AO3** • With a growing industry this could draw in health conscious individuals to *Four Fitness* over the other gyms in the area • This could be a threat to *Four Fitness* that it would have to address in order to keep its customers by introducing its online videos charging a small amount to encourage customer to watch them and offer an additional service from one of their qualified instructors **AO4** • However, there are a lot of fast paced changes in customer needs and as *Four Fitness* is only a small business, it may not have the funds to keep up with all of the changes • However, bigger gyms offering more services at a more reasonable price may outcompete Four Fitness as they may offer more choice	**(12)**

Type MS · Health and safety at work

Answer 7 of 7 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Health and safety at work

Answer 7 of 7 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Health and safety at work

Answer 7 of 7 · Question 4 part b · 6 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

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